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Foxconn Industrial Internet Co. Ltd. | Asia Pacific

AI Servers Continue to Lead 2Q26 Growth

Key Takeaways

- Management indicated 2Q26e revenue growth at >15% YoY across the board, with AI server rack shipments a major driver.
- Mechanical parts for new smartphone model and CPO switches have entered preparation for mass production, with both scheduled for mass production in 3Q26.
- 800G above switch, LEO satellite, CPO switch and foldable smartphones are major business drivers, in addition to Vera Rubin POD introduction.
- We remain OW post its 1Q26 earnings call, with a clear product pipeline through year end.

AI server the major growth driver: Management indicated 2Q26e revenue growth at >15% YoY across the board, with AI server rack shipments a major driver and GB300 still being a majority of shipments. FI sees consumer electronics recovery in 2H26, while AI business should show rapid growth throughout the year. As Vera Rubin-related contribution increases, management expects the overall gross margin structure to improve.

Vera Rubin time-line intact: FI sees no delay for the Vera Rubin NVL72 rack and is currently preparing related capacity. Management targets mass production for VR racks by the end of 3Q26, with production ramp-up expected in 4Q26. The company is confident it can grow its supply share as rack complexity and delivery requirements are higher in next generation product offerings.

CPO switch adoption will likely start to grow this year and FI expects to enter mass production (L10 assembly) in 3Q26 with >10,000 units this year. This business is margin-accretive, with much higher value added compared to traditional network switch assembly work.

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Foxconn Industrial Internet Co. Ltd. (601138.SS, 601138 CG)

Greater China Technology Hardware | China

Stock Rating	Overweight			
Industry View	In-Line			
Price target	Rmb82.80			
Up/downside to price target (%)	21			
Shr price, close (May 20, 2026)	Rmb68.15			
52-Week Range	Rmb83.88-18.39			
Sh out, dil, curr (mn)	18,780			
Mkt cap, curr (mn)	US\$187,820			
EV, curr (mn)	US\$190,446			
Avg daily trading value (mn)	US\$1,361			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.78	3.08	4.04	4.97
EPS (Rmb)\$	1.75	3.05	4.04	4.93
Revenue, net (Rmb mn)	902,887	1,303,49	1,639,12	1,973,90
		6	7	3
EBITDA (Rmb mn)	52,809	81,704	104,594	127,250
ModelWare net inc (Rmb mn)	35,286	61,120	80,320	98,739
P/E	34.9	22.1	16.8	13.7
P/BV	7.4	7.9	7.6	7.3
ROE (%)	23.0	36.6	46.7	55.5
EV/EBITDA	23.7	15.4	12.2	10.2
Div yld (%)	2.6	4.2	5.5	6.7
FCF yld ratio (%)**	(2.0)	1.2	1.5	2.8
Leverage (EOP) (%)	5.5	(17.6)	(5.6)	5.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Foxconn Industrial Internet Co. Ltd. (601138.SS)

Base case, derived from a multi-stage residual income (RI) valuation model. Key assumptions:

- A 10% cost of equity, in line with our tech hardware coverage universe.
- A medium-term growth rate of 18%, reflecting the benefits of its ongoing investment, enriched solution offerings and multi-year AI demand opportunity.
- A terminal growth rate of 5%.

Risks to Upside

- Faster project win progress in IIoT solutions
- Lower competition in its manufacturing business
- Faster-than-expected 5G and data center demand
- Stronger macro outlook

Risks to Downside

- Slow project win progress in IIoT solutions
- Increased competition in its manufacturing business
- Lower-than-expected 5G and data center demand
- Weaker macro outlook

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Foxconn Industrial Internet Co. Ltd. (601138.SS) - As of 05/20/26 GMT in CNY
Industry : Greater China Technology Hardware



Stock Rating History: 5/1/21 : 0/I

Price Target History: 3/20/20 : 20; 5/4/21 : 18.8; 3/30/22 : 12.6; 5/23/22 : 12; 11/10/22 : 11.8; 3/17/23 : 15.5; 5/9/23 : 17.5; 7/12/23 : 28.5; 5/10/24 : 31.1; 7/15/24 : 34.2; 2/5/25 : 29.5; 4/23/25 : 24.2; 5/16/25 : 25.5; 7/21/25 : 33; 8/15/25 : 52.5; 11/14/25 : 82; 4/17/26 : 82.8

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/20/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$42.00
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb236.40
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$26.08
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.63
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.02
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb587.97
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$550.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.91
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.55
Largan Precision (3008.TW)	E (10/17/2025)	NT\$3,200.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb8.51
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.62
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$8.70
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb74.00
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$44.76
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.22
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$62.75
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb358.99
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.00
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$30.14
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb397.95
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$231.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb151.40
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb39.70
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,037.00

ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$24.60
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb37.18
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,355.00
Advantech (2395.TW)	O (01/20/2021)	NT\$465.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,405.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$18.75
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,965.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.26
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,285.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,065.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$230.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.40
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$359.50
Innolux (3481.TW)	E (04/07/2025)	NT\$36.95
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$4,500.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb36.31
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$104.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb16.75
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.23
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.35
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb198.58
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$27.45
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$640.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$27.60
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$8.58
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$302.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,235.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.23
Lenovo (0992.HK)	E (11/16/2025)	HK\$13.20
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,360.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$829.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$77.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$290.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb100.56
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb333.88
Unimicron (3037.TW)	O (02/23/2026)	NT\$823.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$132.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$4,910.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$520.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$439.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,340.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$939.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$183.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,915.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,720.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.15
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$57.50
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb25.08
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$240.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,580.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb16.23
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$204.00

Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb70.07
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$143.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$187.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$400.50

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